

CCOR SIGNAL

External Intelligence → Enterprise Exposure → Actionable Risk

Pilot Stakeholder Pitch

Event-driven Operational Risk, Compliance & Conduct Risk Intelligence

Purpose: demonstrate how a real external event can be transformed into an explainable, evidence-backed signal that identifies affected risks, controls and legal entities and routes the signal to the appropriate CCOR consumer.

Pilot domain: UK Consumer Payment / APP Fraud

1. Executive Proposition

The problem: external intelligence and internal risk/control information largely exist as separate worlds. A CCOR officer must manually determine whether an external event is relevant to the bank, which activities and legal entities are exposed, which controls are implicated, and whether the right response is RCSA reassessment, control testing, compliance risk assessment, monitoring or issue management.

The proposition: build a targeted CCOR Signal capability that connects external events to the bank's existing risk-control landscape, corroborates the signal with internal evidence, quantifies exposure and evidence strength, and routes a defensible recommendation to the appropriate CCOR consumer.

Core principle: AI interprets; enterprise data establishes relevance; deterministic rules calculate; humans decide.

2. Pilot Use Case — APP / Consumer Payment Fraud

External intelligence identifies increasing APP/romance-fraud exposure in the UK, where customers can be manipulated into authorising fraudulent payments.

The pilot does not ask: *"Is fraud risk high?"* It asks: **"Does this external event reveal a material change or challenge to our existing risk/control environment, and where?"**

The target chain is:

External event → Event taxonomy → Risk → Business activity → Product/channel → Control → Application/service → Legal entity → Internal evidence → Signal → CCOR action

3. End-to-End Business Flow

Step 1 — Structure the external event. Extract event type, fraud type, geography, affected party, activity, channel and outcome. AI/NLP converts unstructured language into structured candidate facts.

Step 2 — Resolve to controlled taxonomy. Candidate concepts are matched against approved enterprise taxonomy, synonym dictionaries and governed mappings. AI may propose candidates; deterministic rules establish the accepted mapping.

Step 3 — Traverse the enterprise risk graph. The mapped event is linked to authoritative Risk → Activity → Product → Control → Application → Legal Entity → RCSA relationships.

Step 4 — Corroborate with internal evidence. Bring in fraud losses, complaints, KRIs, control effectiveness, testing recency, incidents and relevant compliance assessments.

Step 5 — Calculate signal dimensions. Produce Mapping Evidence, Enterprise Exposure, Control Vulnerability and Evidence Confidence as separate explainable scores.

Step 6 — Route to CCOR action. Policy rules determine whether the appropriate next step is monitoring, RCSA review, targeted control testing, compliance risk assessment or issue assessment. A human CCOR officer makes the final decision.

4. Illustrative Signal

Signal dimension	Illustrative score	Meaning
Mapping Evidence	96 / 100	Strong evidence that the external event maps to the bank's approved fraud/risk taxonomy and r

Signal dimension	Illustrative score	Meaning
Enterprise Exposure	87 / 100	Material exposure exists in the relevant product, channel, activity and legal entity.
Control Vulnerability	76 / 100	Internal evidence indicates that one or more relevant controls may not adequately address the s
Evidence Confidence	94 / 100	94% of the predefined evidence-strength score is satisfied; this is not an AI probability.

Example CCOR conclusion: “External intelligence indicates increased APP/romance-fraud exposure in the UK. Our UK consumer entity performs the affected customer-payment activity through digital channels. Internal fraud losses and complaints are increasing; the customer-intervention control is partially effective and has not been tested recently. Recommend targeted control testing and review of the compliance risk assessment.”

5. Deterministic Evidence Model

The pilot should avoid a black-box “AI confidence” score. Evidence strength is calculated from predefined, governed dimensions.

Evidence dimension	Illustrative weight
External event → approved taxonomy	20
Event → activity match	15
Event → product/channel match	10
Event → legal entity/geography	10
Event → risk mapping	15
Risk → control mapping	10
Internal incident/loss corroboration	10
KRI corroboration	5
Control-testing evidence	5
Total	100

The weights and thresholds are governance parameters. They should be agreed with CCOR rather than learned implicitly by the model.

6. AI vs Deterministic Responsibilities

Capability	Pilot approach
Read and interpret news	AI / NLP
Extract event entities and concepts	AI / NLP
Generate candidate taxonomy mappings	AI + semantic search
Accept final taxonomy mapping	Deterministic rules + governed taxonomy
Risk → Control relationships	Authoritative enterprise mapping
Control → Application	Authoritative control/application mapping

Capability	Pilot approach
Application → Legal Entity	Authoritative inventory/ownership data
Exposure calculation	Deterministic scoring
Evidence confidence	Deterministic scoring
CCOR action routing	Deterministic policy rules
RCSA/control/compliance decision	Human CCOR decision

Appendix A — High-Level Functional Flow

External Intelligence → ingest news/regulatory intelligence → extract event attributes → normalize concepts → candidate taxonomy resolution → validate against governed taxonomy → traverse enterprise risk/control graph → retrieve internal corroborating evidence → calculate signal dimensions → generate explanation and lineage → route to CCOR workflow → human decision → capture outcome/feedback.

Key functional components

- Source ingestion and provenance: source, publication time, issuer, geography and article identifiers.
- Event extraction: event type, affected activity, product, geography, parties, outcome, severity indicators.
- Taxonomy resolution: controlled vocabulary, synonyms, aliases, semantic candidate search and deterministic acceptance rules.
- Risk/control graph: governed relationships among risks, activities, controls, products, applications, services, legal entities and RCSAs.
- Evidence service: KRIs, incidents, losses, complaints, control tests, assessments and issue history.
- Signal engine: mapping evidence, exposure, control vulnerability and evidence confidence.
- Decision policy: deterministic routing to monitor, RCSA review, control testing, compliance assessment or issue assessment.
- Explainability: every score must show contributing evidence, relationships, rules and data timestamps.

Appendix B — High-Level Architecture

External layer

News / regulatory intelligence / market or industry signals

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AI interpretation layer

NLP extraction • entity/event recognition • semantic candidate retrieval

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Enterprise knowledge layer

Risk taxonomy • activity taxonomy • control taxonomy • product/channel • application/service • legal entity • geography • RCSA

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Evidence layer

KRIs • incidents • operational losses • complaints • control testing • compliance assessments • issues

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Deterministic signal layer

Mapping evidence • exposure score • control vulnerability • evidence confidence • policy thresholds

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CCOR workflow

RCSA reassessment • targeted control testing • compliance risk assessment • monitoring • issue assessment • human approval

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Feedback loop

CCOR disposition → accepted/rejected signal → reason → model/rule/taxonomy improvement.

Appendix C — Data Required for the Pilot

Data set	Minimum pilot requirement	Purpose
Risk taxonomy	Fraud / consumer-payment subset	Controlled risk resolution
RCSA	UK consumer-payment RCSA	Risk/activity/control context
Control inventory	Relevant fraud/payment controls	Control identification
Control testing	Latest test result/date/effectiveness	Control vulnerability
Business activity mapping	Payment activities	Activity relevance
Legal entity mapping	UK entity and ownership	Entity exposure
Application/service inventory	Payment/fraud applications	Operational implementation
KRI / incidents / losses	APP fraud indicators	Corroboration
External intelligence	Curated news/regulatory sources	Event signal

Appendix D — Pilot Decision Rules

Condition	Illustrative outcome
Low mapping evidence	Do not propagate; enrich or dismiss.
Strong mapping + low exposure	Monitor; no immediate RCSA change.
Strong mapping + material exposure	Targeted RCSA review.
Strong mapping + material exposure + control vulnerability	Targeted control testing.
Strong mapping + material exposure + control vulnerability + regulatory/news/losses evidence	Category/risk reassessment/potential issue assessment.

These are examples for pilot design. CCOR governance should approve the actual thresholds, weights and escalation policy.

Appendix E — Pilot Success Measures

- Mapping accuracy: target >90% agreement with CCOR SMEs on event → taxonomy/risk/control mapping.
- Traceability: 100% of signals have source, data lineage, relationship path and scoring explanation.
- Actionability: measure the percentage of accepted signals that result in a meaningful CCOR action.
- Efficiency: compare analyst time required to reach a disposition against the current manual process.
- False positives: track signals rejected by CCOR and the reason for rejection.
- Coverage: demonstrate the ability to identify affected legal entities and controls without manually searching each repository.
- Governance: demonstrate reproducible scoring—same inputs and rules produce the same result.

Appendix F — References & Further Reading

FCA — Combating romance fraud: prevention, detection and supporting victims. Used as the external context for the pilot scenario and demonstrates regulatory focus on APP/romance fraud prevention and customer protection.

<https://www.fca.org.uk/publications/multi-firm-reviews/combating-romance-fraud-prevention-detection-and-supporting-victims>

FINRA — 2026 Annual Regulatory Oversight Report, AML section. Relevant background for financial-crime controls, risk-based programs and supervisory expectations.

<https://www.finra.org/rules-guidance/guidance/reports/2026-finra-annual-regulatory-oversight-report/aml>

Bank of England — Operational resilience of recognised payment systems and specified service providers. Relevant background for connecting external operational events to critical services and resilience controls.

<https://www.bankofengland.co.uk/paper/2026/ss/operational-resilience-rpsos-ssps-ss>

Note: External references are illustrative supporting material for the pilot concept. The pilot should use the institution's approved regulatory/news sources and internal authoritative data as the production evidence base.